Cosmax (192820 KS)

Earnings surprise expected on accelerated domestic and overseas growth

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BUY (M)

Target price	W363,000 (M)
Previous target price	W363,000
Current price (Oct 30)	W247,000
Upside potential	47%

Market cap (Wbn)	2,803
Shares outstanding	11,349,509
Avg daily T/O (2M, Wbn)	34
Avg daily volume (2M, shrs)	128,968
52-week high/low (won)	308,500 / 144,900
Foreign ownership (%)	34.37%
Dividend yield (%)	2.02%
Major shareholders	COSMAX BTI & others

Stock performance

(%)	1M	3M	12M
Absolute	(7.5)	32.9	22.3
Relative	10.4	29.7	(12.8)
Abs (US$)	(6.2)	43.1	30.7

Strong Korean and US order momentum to persist

In 3Q26, Cosmax likely posted consolidated revenue of W815bn (+39% YoY) and OP of W83bn. Korean subsidiary revenue likely grew 47% YoY. Despite fewer working days due to summer vacations and the Chuseok holiday, the firm saw steady orders for products destined for export and overseas distribution channels. Growth among skincare clients accelerated compared to 1H26, and the previously sluggish makeup segment, likely rebounded thanks to new product releases at major clients and the impact of promotions. The US entity likely posted strong revenue growth of 71% YoY. Reorders and new orders are continuing from both indie and legacy clients. As development requests and adoptions of skincare items including creams, essences, masks, and sun care increase, we believe both top-line and OP increased QoQ.

We estimate the Chinese entity's revenue growth at 21% YoY on a consolidated basis. We forecast growth at 32% YoY for the Shanghai subsidiary on expanding orders from major makeup clients and 21% for the Guangzhou subsidiary supported by solid demand in offline and export channels. In Southeast Asia, revenue likely grew 20% YoY in Indonesia and 25% in Thailand.

Maintain BUY and TP of W363,000, correction offers buying opportunity

We maintain BUY and our target price of W363,000. Compared to the 2Q26 conference call guidance, growth rate projections have been raised for Korea from 35-40% to 45%, and for the US from over 40% to over 70%. Strong orders in Korea and the US are likely driving top-line growth, and we believe the company has entered a phase where expanding revenue at the US entity is translating into earnings leverage.

Shares rose to a 52-week high of W308,500 on expectations for earnings in early October, but retreated to W247,000 recently due to profit-taking and valuation concerns. However, earnings estimates have continued to climb, with the gap between the share price and fundamentals widening. We believe the current share price offers an attractive level to expand exposure ahead of the earnings release given that: 1) the firm has the strongest 3Q26 revenue growth among the top three ODMs; 2) quarterly revenue will likely surpass 2Q26 despite weak seasonality; and 3) overseas entities including the US and China are enjoying a simultaneous recovery.

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	2,166	2,399	3,039	3,440
OP	175	196	273	319
Net profit, CI	86	123	191	219
P/E (x)	18.3	18.1	14.7	12.8
P/B (x)	3.3	4.0	3.9	3.1
EV/EBITDA (x)	9.3	11.5	10.4	8.9
ROE (%)	20.5	23.9	30.0	27.1

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Cosmax: earnings forecast										(Wbn)
	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	4Q26E	2026E
Revenue	**589**	**624**	**586**	**601**	**2,399**	**682**	**795**	**815**	**747**	**3,039**
Cosmax (separate)	363	421	384	360	1,527	423	518	565	470	1,977
Cosmax East	163	149	140	181	633	195	197	170	210	772
Shanghai	109	109	91	117	425	135	145	120	157	557
Guangzhou	49	41	46	53	188	56	49	55	55	215
Cosmax West	29	30	37	37	133	42	54	63	50	209
Cosmax Indonesia	30	21	22	26	98	23	29	28	30	110
Cosmax Thailand	24	23	15	11	73	24	25	19	16	84
YoY (%)	*12*	*13*	*11*	*8*	*11*	*16*	*27*	*39*	*24*	*27*
Cosmax (separate)	*15*	*21*	*10*	*4*	*12*	*17*	*23*	*47*	*31*	*29*
Cosmax East	*3*	*1*	*22*	*17*	*10*	*20*	*33*	*21*	*16*	*22*
Shanghai	*1*	*11*	*26*	*23*	*14*	*24*	*33*	*32*	*34*	*31*
Guangzhou	*4*	*-17*	*15*	*9*	*2*	*15*	*19*	*21*	*4*	*14*
Cosmax West	*-26*	*-17*	*14*	*24*	*-3*	*46*	*79*	*71*	*35*	*57*
Cosmax Indonesia	*23*	*-18*	*-33*	*-18*	*-14*	*-23*	*38*	*30*	*17*	*12*
Cosmax (separate)	*152*	*124*	*37*	*-12*	*69*	*2*	*8*	*25*	*44*	*15*
OP	**51**	**61**	**43**	**41**	**196**	**53**	**74**	**83**	**63**	**273**
Cosmax (separate)	34	50	34	36	155	38	56	63	47	204
Overseas and others	17	11	8	5	41	15	17	20	16	68
OPM (%)	*9*	*10*	*7*	*7*	*8*	*8*	*9*	*10*	*8*	*9*
Cosmax (separate)	*9*	*12*	*9*	*10*	*10*	*9*	*11*	*11*	*10*	*10*

Source: company data, Yuanta Securities

Cosmax (192820 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**2,166**	**2,399**	**3,039**	**3,440**	**3,800**
Cost of sales	1,748	1,990	2,505	2,819	3,106
Gross profit	418	409	534	621	694
SG&A	243	213	261	302	332
Operating profit	**175**	**196**	**273**	**319**	**362**
EBITDA	244	270	349	398	445
Non-operating profit	-38	-39	-18	-24	-27
Forex gains	16	-7	-15	-30	-30
Net interest income	-38	-40	-43	-41	-38
Equity-method gains	0	0	0	0	0
Other	-15	9	40	47	41
Net prof before income tax	138	157	255	295	335
Income tax	49	25	56	67	77
Net profit from continuing ops	88	131	199	228	258
Net profit from discontinued ops	0	0	0	0	0
Net profit	88	131	199	228	258
NP for controlling interest	**86**	**123**	**191**	**219**	**248**
Total comprehensive income	120	134	202	231	261
Total comprehensive income, CI	117	126	191	218	246

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**943**	**975**	**1,236**	**1,454**	**1,714**
Cash & cash equivalents	256	192	252	343	491
Accounts receivables & other	357	436	552	625	690
Inventory	257	271	343	388	429
Non-current assets	991	1,150	1,190	1,233	1,281
Tangible assets	778	926	959	999	1,043
Investment in affiliates	1	1	1	1	2
Other investment assets	55	52	62	69	75
Total assets	**1,934**	**2,125**	**2,427**	**2,687**	**2,995**
Current liabilities	1,114	1,201	1,336	1,410	1,503
Accounts payable & other	285	317	401	454	502
ST financial liabilities	464	499	469	439	439
Liquid LT liabilities	45	84	84	84	84
Non-current liabilities	311	312	313	307	299
LT financial liabilities	149	175	155	135	115
Debentures	39	20	20	20	20
Total liabilities	**1,425**	**1,513**	**1,650**	**1,717**	**1,802**
Equity, controlling interest	473	558	715	899	1,112
Paid-in capital	6	6	6	6	6
Capital surplus	28	13	13	13	13
Retained earnings	384	483	637	819	1,029
Equity, non-controlling interest	35	54	62	71	81
Total equity	**509**	**612**	**777**	**970**	**1,194**
Net debt	**673**	**818**	**768**	**664**	**531**
Total debt	968	1,044	1,056	1,044	1,059

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**73**	**87**	**136**	**226**	**267**
Net profit	88	131	199	228	258
Depreciation & amortization	64	69	72	76	80
Forex gains	-13	3	15	30	30
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-127	-87	-156	-113	-106
Other	61	-30	6	5	5
Investing cash flow	**-160**	**-179**	**-117**	**-122**	**-131**
Investment	-5	2	-11	-7	-6
Increase in tangible assets	-165	-187	-110	-120	-130
Decrease in tangible assets	4	4	4	5	5
Other	6	1	0	0	0
Financing cash flow	**68**	**28**	**-31**	**-54**	**-28**
ST financial liabilities	159	36	32	9	35
Debenture/LT financial liabilities	97	39	-20	-20	-20
Equity	0	-16	0	0	0
Cash dividend	-6	-26	-37	-37	-37
Other cash flow	-183	-6	-6	-6	-6
Consolidation adj and other	19	0	72	42	39
Increase in cash & equivalents	**-1**	**-64**	**60**	**92**	**147**
Beginning cash & equivalents	257	256	192	252	343
Ending cash & equivalents	256	192	252	343	491
NOPLAT	175	196	**273**	**319**	**362**
FCF	**-92**	**-100**	**26**	**106**	**137**

Valuation

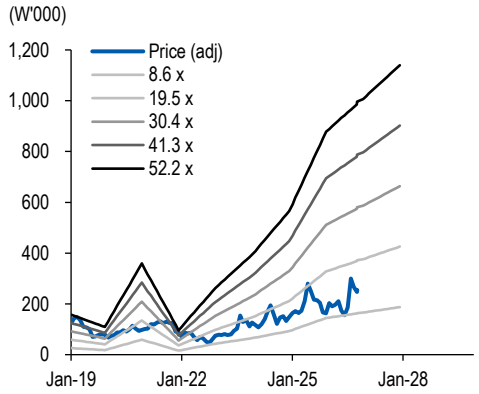
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	7,560	10,843	16,828	19,296	21,851
BPS (won)	41,725	49,196	62,980	79,234	98,044
EBITDA/shr (won)	21,517	23,785	30,772	35,104	39,213
SPS (won)	190,853	211,353	267,766	303,097	334,816
DPS (won)	2,300	3,300	3,300	3,300	3,300
P/E (x)	**18.3**	**18.1**	**14.7**	**12.8**	**11.3**
P/B (x)	**3.3**	**4.0**	**3.9**	**3.1**	**2.5**
EV/EBITDA (x)	**9.3**	**11.5**	**10.4**	**8.9**	**7.7**
P/S (x)	**0.7**	**0.9**	**0.9**	**0.8**	**0.7**

Key financial data

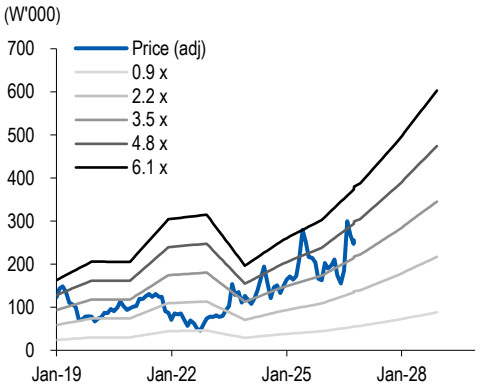
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**21.9**	**10.7**	**26.7**	**13.2**	**10.5**
Operating profit (%YoY)	**51.6**	**11.6**	**39.3**	**16.9**	**13.5**
Net profit, CI (%YoY)	**50.2**	**43.4**	**55.2**	**14.7**	**13.2**
Gross margin (%)	19.3	17.1	17.6	18.1	18.3
Operating margin (%)	**8.1**	**8.2**	**9.0**	**9.3**	**9.5**
Net margin, CI (%)	4.0	5.1	6.3	6.4	6.5
EBITDA margin (%)	11.3	11.3	11.5	11.6	11.7
ROIC (%)	12.4	13.3	15.1	16.2	17.2
ROA (%)	4.9	6.1	8.4	8.6	8.7
ROE (%)	**20.5**	**23.9**	**30.0**	**27.1**	**24.7**
Debt-to-equity (%)	280.0	247.1	212.4	177.0	151.0
Net debt-to-equity (%)	142.2	146.5	107.5	73.9	47.7
OP/financing cost (x)	3.9	4.2	5.6	6.5	7.4

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

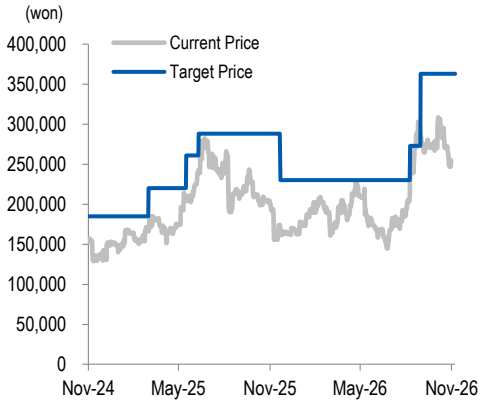
P/E band chart



P/B band chart



Cosmax (192820 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/03	BUY	363,000	1 yr		
2026/09/02	BUY	363,000	1 yr		
2026/08/12	BUY	273,000	1 yr	0.00	10.99
2025/11/24	BUY	230,000	1 yr	-20.65	-1.30
2025/06/13	BUY	288,000	1 yr	-22.40	-2.08
2025/05/19	BUY	261,000	1 yr	-16.98	-7.09
2025/03/04	BUY	220,000	1 yr	-19.87	-2.73
2024/10/30	BUY	185,000	1 yr	-19.05	-7.41

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Nov 03, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
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  - Neutral: Investment weighting is equal to the market capitalization weighting
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